

companies to respond to changing habits, quicker. “There is a trend towards preventive health, and we have aligned our strategy to meet the demand for self-care products,” Joy Chatterjee, Vice President of Sales and Marketing at Mankind Pharma, says.

While prescription drugs are clearly categorised under specific schedules in the Drugs Rules, 1945, OTC drugs remain undefined. This has led to uncertainty in their manufacturing, marketing and sale, creating confusion within the industry. Although discussions have taken place within the Drugs Consultative Committee (DCC) and the Drugs Technical Advisory Board (DTAB), progress has been slow. Experts believe that a well-defined regulatory framework could ease the burden on India’s healthcare system, reduce out-of-pocket expenses for patients and encourage responsible self-medication practices. While nutrition and personal health seem appealing as categories, these segments are already saturated.

“Nutritional supplements, pain, and gastrointestinal categories are also appealing, but seem well penetrated,” Vishal Manchanda, Senior Vice President–Institutional Research at Systematix, says. Challenges in entering such markets include tackling varying regulatory requirements, facing strong local competition from established players, and raising consumer awareness about OTC products, particularly in regions where trust in such products might be lower.

CONCERNS ABOUT PUBLIC HEALTH

In addition to the regulatory and market saturation challenges, the OTC sector in India faces several other issues. A key concern flagged

“Companies say that there are significant opportunities in smaller markets across Tier II and Tier III cities”

ACHIN GUPTA

CEO OF ONE INDIA BUSINESS, CIPLA LIMITED



“Their (Cipla, Mankind etc) wide network presence, led by a large field force...have helped them grow in the consumer and OTC segments”

TAUSIF SHAIKH

INDIA ANALYST IN PHARMA AND HEALTHCARE, BNP PARIBAS

by the Central Drugs Standard Control Organisation (CDSCO) is the lack of consistency in quality control standards, which can lead to variations in the potency and safety of products. According

to doctors *Business Today* spoke with, many OTC drugs, including supplements, are not subject to the same clinical trials as prescription medications, raising questions about their effectiveness and potential side effects.

The rise of self-medication also brings risks of misuse and overuse, contributing to concerns about antibiotic resistance, adverse drug reactions, and long-term health consequences. Another challenge is the fragmented distribution network, particularly in rural areas, where access to genuine OTC products is limited.

These factors, along with a lack of consumer education, create complexities for both manufacturers and consumers, making it difficult for the sector to develop responsibly. From a public health perspective, many drugs marketed as non-prescription fall in the grey area, leading to inconsistencies in how they are sold and used. Industry associations and pharmacists have long advocated for the creation of a separate category for OTC drugs, which could include an approved list of OTC ingredients and clear guidelines for fixed dose combinations.

“A study in the *Journal of Pharmaceutical Research* found that 74.2% of respondents used OTC multivitamins, and 57.1% did so without consulting healthcare professionals. Worryingly, 45.6% took these supplements for preventive purposes, even when no medical condition warranted their use,” Dr Agarwal says. Experts believe that public awareness campaigns should highlight the dangers of self-medication, emphasising the importance of professional medical advice. **BT**

@neetu_csharma